

A STUDY ON BEHAVIORAL BIASES IN INVESTMENT DECISIONS

Project submitted to the Alagappa University, Karaikudi in partial fulfillment of the requirements for the award of the degree of

MASTER OF BUSINESS ADMINISTRATION

Submitted by

KAVEEN KUMAR A D

253108740133



Indian School of Science and Management-874,

Chennai.

MAY 2026

CERTIFICATE

This is to certify that the project **“A STUDY ON BEHAVIORAL BIASES IN INVESTMENT DECISIONS”** is a record of research work done by **KAVEEN KUMAR A D (253108740133)** during the Academic Year 2025-2026 at Indian School of Science and Management, Chennai, Tamil Nadu, India. This Project has not been previously formed in any basis for the award of any Degree, Diploma, Associate-ship, Fellowship or any other Similar Title to anyone and the project represents entirely an independent work on the part of the candidate.

Mr. A. Ranjith Kumar
(Principal)
ISSM Business School

Project Guide

DECLARATION

I, **KAVEEN KUMAR A D (253108740133)**, hereby declare that the project “**A STUDY ON BEHAVIORAL BIASES IN INVESTMENT DECISIONS**” is a Bonafide record of research work done by me under the supervision of Ms. Akilandeshwari Professor for the PG Programme in MBA at ISSM BUSINESS SCHOOL. I further declare that this work has not been previously formed the basis for the award of any degree, diploma, associate-ship or other similar title.

Place:

Signature of the Student

Date:

ACKNOWLEDGEMENT

I would like to express my sincere gratitude to all those who have supported and guided me throughout the course of this project. The successful completion of this project would not have been possible without their encouragement, valuable insights, and continuous assistance. I am truly thankful for the knowledge, training, and experience I have gained during this process, which has greatly contributed to the completion of this work.

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ABSTRACT

Behavioral finance has emerged as an important field of study that explains how psychological and emotional factors influence investment decisions. Traditional financial theories assume that investors behave rationally and make decisions based on logical analysis and complete information. However, in real-world financial markets, investors are often influenced by behavioral biases such as overconfidence, loss aversion, herd behavior, anchoring, and emotional reactions. The present study titled “A Study on Behavioral Biases in Investment Decisions” aims to analyze the impact of behavioral biases on investment decision-making among investors. The study also examines the level of awareness among investors regarding behavioral biases and evaluates how demographic factors influence investment behavior. Primary data were collected through a structured questionnaire from 105 respondents in Chennai using the convenience sampling method. Statistical tools such as simple percentage analysis and chi-square test were used for analyzing the collected data.

The findings of the study reveal that behavioral biases significantly influence investment decisions and investor behavior. A majority of respondents agreed that emotions, personal beliefs, past experiences, recent market information, and herd behavior affect their investment choices. The study also found that many investors hesitate to sell investments at a loss and tend to prefer familiar investment options. Furthermore, the results indicate that financial education and professional guidance can help investors reduce irrational decision-making and improve investment performance. The study concludes that understanding and managing behavioral biases are essential for making rational and informed investment decisions. It also emphasizes the need for investor awareness programs and financial literacy initiatives to minimize the negative impact of behavioral biases in financial markets.

TABLE OF CONTENT

CHAPTER NO.	CHAPTER	PAGE NO
I	INTRODUCTION	1 - 7
II	REVIEW OF LITERATURE	8 – 16
III	RESEARCH METHODOLOGY	17 – 20
IV	DATA ANALYSIS & INTERPRETATION	21 - 45
V	FINDINGS, SUGGESTIONS & CONCLUSION	46 - 49
	REFERENCES	\ 50-53
	ANNEXURE	54 - 59

CHAPTER – I
INTRODUCTION

CHAPTER – I

INTRODUCTION

1.1 Research Background

The process of investment decision-making has traditionally been viewed through the lens of classical financial theories, which assume that investors are rational, information-driven, and utility-maximizing individuals. However, real-world financial markets consistently demonstrate deviations from this assumption, revealing that investors often act irrationally due to psychological and emotional influences. These deviations have led to the emergence of behavioral finance, a field that integrates psychology with finance to understand how cognitive biases affect investment decisions.

In modern financial markets, individual investors play a significant role in determining market movements. With the increasing accessibility of stock trading platforms, mutual funds, and digital investment applications, participation in financial markets has expanded rapidly. However, despite the availability of vast financial information and analytical tools, investors frequently make suboptimal decisions influenced by behavioral biases such as overconfidence, loss aversion, herding behavior, and anchoring.

Behavioral biases are systematic patterns of deviation from rationality that influence judgment and decision-making. These biases often lead investors to misinterpret information, overestimate their abilities, or follow market trends without proper analysis. For instance, during market booms, investors may exhibit overconfidence and invest excessively, while during downturns, fear and loss aversion may lead to panic selling.

Understanding these behavioral tendencies is essential because they not only impact individual investment outcomes but also contribute to broader market inefficiencies such as bubbles and crashes. Therefore, this study aims to explore the various behavioral biases that influence investment decisions and examine how these biases affect investor behavior in financial markets.

1.2 Evolution of Behavioral Finance

The concept of behavioral finance emerged as a response to the limitations of traditional financial theories such as the Efficient Market Hypothesis (EMH), which assumes that markets are always efficient and reflect all available information. However, repeated anomalies in financial markets challenged this assumption, leading researchers to explore psychological factors influencing investor behavior.

The foundational work of scholars such as Daniel Kahneman and Amos Tversky introduced the concept of cognitive biases and heuristics, demonstrating that individuals rely on mental shortcuts when making decisions under uncertainty. Their Prospect Theory explained how people perceive gains and losses differently, emphasizing that losses have a greater psychological impact than equivalent gains.

Over time, behavioral finance has evolved into a well-established discipline, incorporating insights from psychology, sociology, and economics. It has provided a more realistic framework for understanding investor behavior by acknowledging that emotions, biases, and social influences play a critical role in financial decision-making.

In the context of investment decisions, behavioral finance helps explain why investors often deviate from rational strategies, such as holding losing stocks too long, selling winning stocks too early, or following herd behavior during market trends.

1.3 Nature of Investment Decisions

Investment decisions involve allocating financial resources into various assets such as stocks, bonds, mutual funds, and real estate with the expectation of generating returns. These decisions are inherently complex and involve risk, uncertainty, and time considerations.

Traditionally, investment decisions are based on factors such as risk tolerance, return expectations, market analysis, and economic conditions. However, in practice, investors are influenced by psychological factors that may override logical reasoning.

For example, an investor may rely on past experiences or recent market trends rather than conducting thorough analysis. Similarly, emotional responses such as fear and greed can significantly impact decision-making, leading to irrational investment choices.

The presence of behavioral biases makes investment decisions less predictable and often inconsistent with rational financial theories. Therefore, it is essential to study these biases to understand how investors actually behave in real-world scenarios.

1.4 Types of Behavioral Biases in Investment

Behavioral biases affecting investment decisions can be broadly categorized into cognitive biases and emotional biases.

Cognitive biases arise from errors in thinking and information processing. These include:

- Overconfidence bias: Investors overestimate their knowledge and abilities.
- Anchoring bias: Investors rely heavily on initial information or reference points.
- Confirmation bias: Investors seek information that supports their existing beliefs.
- Emotional biases are driven by feelings and emotions. These include:
 - Loss aversion: Investors fear losses more than they value gains.
 - Herding behavior: Investors follow the actions of others without independent analysis.
 - Regret aversion: Investors avoid decisions that may lead to regret.

These biases influence how investors perceive risk, interpret information, and make investment choices, often leading to irrational behavior.

1.5 Investor Behavior in Financial Markets

Investor behavior plays a crucial role in shaping financial markets. The collective actions of investors determine market trends, price movements, and overall market efficiency.

In reality, investors do not always behave rationally. Market phenomena such as speculative bubbles, sudden crashes, and excessive volatility can often be attributed to behavioral factors rather than fundamental economic indicators.

For instance, during a market boom, investors may exhibit herd behavior and invest heavily, driving prices beyond their intrinsic value. Conversely, during a market downturn, panic selling can lead to sharp declines in prices.

Understanding investor behavior is essential for developing strategies that can mitigate the negative impact of behavioral biases and improve investment outcomes.

1.6 Theoretical Foundations

This study is grounded in key behavioral and financial theories that explain investor decision-making:

- Prospect Theory: Explains how individuals evaluate gains and losses differently, emphasizing loss aversion.
- Heuristics Theory: Describes how individuals use mental shortcuts to make decisions under uncertainty.
- Efficient Market Hypothesis (EMH): Provides a benchmark for understanding market efficiency, against which behavioral anomalies are compared.
- Behavioral Finance Theory: Integrates psychological insights into financial decision-making.

These theories provide a framework for analyzing how behavioral biases influence investment decisions.

1.7 Significance of the Study

The study of behavioral biases in investment decisions is significant for several reasons:

- It helps investors understand their own decision-making patterns.
- It provides insights into market anomalies and inefficiencies.
- It assists financial advisors in developing better investment strategies.
- It contributes to academic research in behavioral finance.

By identifying and analyzing behavioral biases, this study aims to enhance the effectiveness of investment decision-making.

1.8 Statement of the Problem

In recent years, there has been a significant increase in individual participation in financial markets due to the growth of digital trading platforms, financial literacy initiatives, and easy access to investment options. Despite this increased participation, many investors fail

to achieve optimal returns, not necessarily due to lack of information, but due to irrational decision-making influenced by behavioral biases.

Traditional financial theories assume that investors are rational and make decisions based on complete information and logical analysis. However, in reality, investors are influenced by psychological factors such as emotions, perceptions, and cognitive limitations. Behavioral biases such as overconfidence, loss aversion, anchoring, and herding behavior often lead investors to make decisions that deviate from rationality.

These biases can result in poor portfolio performance, excessive trading, misjudgment of risk, and susceptibility to market fluctuations. Moreover, the lack of awareness about these biases further aggravates the problem, as investors may not recognize the factors influencing their decisions.

Therefore, the core problem addressed in this study is to understand how behavioral biases influence investment decisions and to what extent these biases impact investor behavior in financial markets.

1.9 Scope of the Study

The study focuses on individual investors and examines how behavioral biases influence their investment decisions. It covers various types of biases, investor perceptions, and decision-making patterns. The scope is limited to analyzing behavioral aspects and does not include detailed technical or fundamental analysis of financial markets.

1.10 Objectives of the Study

The primary objective of the study is to analyze the impact of behavioral biases on investment decisions.

Specific Objectives:

- To identify the various behavioral biases affecting investment decisions.
- To examine the level of awareness among investors regarding behavioral biases.
- To analyze the influence of behavioral biases on investor decision-making.
- To study the relationship between behavioral biases and investment performance.

- To evaluate how demographic factors influence behavioral biases in investment decisions.
- To suggest measures to minimize the impact of behavioral biases among investors.

1.11 Limitations of the Study

- The study is limited to a specific sample of investors.
- Responses are based on personal opinions, which may involve bias.
- The study focuses only on selected behavioral biases.
- Time and resource constraints may limit the depth of analysis.

1.12 Chapterization

The research is organized into five chapters:

Chapter I – Introduction: Provides background, concepts, and framework of the study.

Chapter II – Review of Literature: Examines previous studies related to behavioral finance and investment decisions.

Chapter III – Research Methodology: Describes research design, data collection, and analysis methods.

Chapter IV – Data Analysis and Interpretation: Presents analysis of collected data.

Chapter V – Findings, Suggestions, and Conclusion: Summarizes results and provides recommendations.

1.13 Conclusion of the Chapter

This chapter has provided a comprehensive overview of behavioral biases in investment decisions, highlighting the limitations of traditional financial theories and the importance of psychological factors in investor behavior. It has established the foundation for understanding how cognitive and emotional biases influence decision-making in financial markets.

The study emphasizes that investment decisions are not purely rational but are significantly shaped by behavioral factors. Recognizing and managing these biases is essential for improving investment outcomes and achieving financial goals.

CHAPTER – II
REVIEW OF LITERATURE

CHAPTER – II**REVIEW OF LITERATURE**

The Review of Literature is a critical summary and evaluation of existing research and scholarly work relevant to a specific topic or field of study. It helps identify gaps in knowledge, understand the current state of research, and provides a theoretical foundation for a new study. By analysing previous studies, it guides researchers in refining their research questions and methodology, ensuring their work contributes meaningfully to the existing body of knowledge. This collection of studies explores the critical link between behavioral biases and investment decisions among investors. Key behavioral factors such as overconfidence, herd mentality, loss aversion, anchoring bias, and emotional influence significantly affect investment behavior. Behavioral finance theories and empirical studies reveal that psychological factors often lead investors to make irrational financial decisions. Statistical techniques such as regression analysis, correlation, factor analysis, and structural equation modeling confirm the significant impact of behavioral biases on investment choices, risk perception, and portfolio performance.

Rosyidah Rahmah et. Al. (2026) The study explains how cognitive and emotional biases influence investment decisions, often leading to irrational outcomes. Investors commonly rely on heuristics and emotions, which can simplify decision-making but may result in suboptimal choices. Research also shows that behavioral biases such as overconfidence, herding, and loss aversion significantly affect market behavior. Additionally, cultural factors like long-term orientation (LTO) can reduce the negative impact of these biases by encouraging future-focused decision-making. Gender differences further influence how investors respond to biases, with variations in risk tolerance and confidence levels. Overall, the literature emphasizes that investment decisions are shaped by a combination of psychological, cultural, and demographic factors.

Narasaraju Divakara Reddy et. al. (2026) This study examines the Investment decision-making is a key part of financial planning, focusing on allocating resources to generate future returns. Behavioral finance helps explain how psychological biases influence these decisions, challenging traditional financial theories. This study analyzes five biases—heuristics, prospect theory, emotions, market impact, and herding behavior—while considering investor experience and financial literacy as moderating factors. Data was collected from 151 investors in BSE and NSE using a structured questionnaire and analyzed through PLS-SEM. The results show that only heuristics significantly influence investment decisions, while other

biases have no direct impact. However, investor experience and financial literacy moderate the effects of emotions and market impact. Overall, improving financial knowledge and experience can help manage emotional decisions but may not fully overcome deep-rooted cognitive biases.

Onipe Adabenege Yahaya (2026) The literature reveals that investor sentiment is a critical predictor of stock returns on the Nigerian Exchange, fundamentally challenging traditional rational-market theories. Quantitative research from 2026 indicates that a one-unit increase in sentiment leads to a **0.723% rise** in monthly returns, particularly within the energy sector. These effects are most pronounced in small, highly leveraged firms where retail-driven "noise trading" often overrides fundamental valuations. Conversely, strong corporate governance and board independence act as vital stabilizers, reducing sentiment-linked volatility by up to 20%. As institutional participation reaches multi-year highs in 2026, the market reflects a strengthening conviction that psychological factors now coexist with macroeconomic fundamentals in price discovery.

Benjamin Hiepler et. al. (2026) This study highlights that delegating lending decisions, particularly to automated systems, significantly weakens the social contract and reduces borrower reciprocity. Experimental data shows that repayment rates drop from 73.1% under direct lending to 62.2% when decisions are delegated, with algorithms triggering the lowest repayment at 59.1%. This behavior stems from borrowers perceiving automated lending as requiring less effort or personal involvement from the lender. While lenders often choose algorithmic delegation for its perceived efficiency, they frequently underestimate the resulting increase in default risk. Consequently, the rise of FinTech introduces unique behavioral risks that are not currently captured by traditional credit risk assessments.

Tressy Clita Pinto (2026) The study indicates that financial literacy is the primary driver of investment behavior, with knowledgeable youth being 30% more likely to participate in diverse portfolios. While traditional saving is common, many young individuals face barriers such as risk aversion, a lack of investment knowledge, and income constraints. Recent studies show that digital investment platforms and fintech solutions have significantly lowered entry barriers, leading to a rise in youth participation in stocks and mutual funds. However, research identifies a critical gap in understanding how psychological factors and socioeconomic backgrounds influence these transitions. Strategies like integrating financial education into school curriculums and using gamified learning have been proposed to boost investment

confidence. Ultimately, bridging the gap from savings to investing is seen as essential for long-term wealth accumulation and economic stability among younger generations.

Manaka Yamaguchi et. al. (2026) This study examined the relationship between financial literacy perceptions—specifically overconfidence and underconfidence—and regular exercise behavior using data from 3,870 U.S. respondents. The study found that while financial literacy itself is positively associated with exercise, financial underconfidence serves as a significant psychological barrier, reducing the probability of regular physical activity by 5.22% to 8.58%. Conversely, financial overconfidence did not show a statistically significant effect on exercise habits. These findings suggest that low self-efficacy in one's financial knowledge can spill over into health-related domains, diminishing the motivation to invest in physical well-being. The researchers conclude that interventions aimed at correcting self-perception biases could promote healthier lifestyles alongside improved financial decision-making.

Juvonen (2026) This Master's thesis examines the investment value of stock analyst recommendations in the Finnish market between 2014 and 2024. Using the CAPM and Fama-French five-factor models, the study finds that while favorable recommendations do not produce significant positive abnormal returns, portfolios with unfavorable consensus recommendations yield significant negative abnormal returns, even after transaction costs. However, practical exploitation of this bearish signal is limited by short-selling constraints and costs in the Finnish market. Furthermore, the analysis reveals that analysts' forecasting abilities vary by industry, showing genuine stock-picking skill in the technology, financials, and consumer discretionary sectors, but less accuracy in the industrial sector. Overall, the results suggest the Finnish stock market operates relatively efficiently, as most apparent abnormal returns are either statistically insignificant or physically difficult to capture.

Resa Saridona et. al. (2026) Digital financial literacy (DFL) has evolved into a critical integration of knowledge, skills, and attitudes necessary to navigate modern digital financial services effectively. This construct encompasses digital knowledge, risk awareness, and decision-making competence, all of which enhance investment quality by allowing investors to filter misinformation and perform data-driven portfolio adjustments. Conversely, herding behavior manifests when investors disregard fundamental analysis to mimic peers, often driven by informational or reputational pressures during periods of market uncertainty. Financial influencers further shape these behaviors through their perceived credibility, democratizing financial education while simultaneously risking the promotion of impulsive, trend-based

choices. Ultimately, while DFL acts as a protective factor that fosters rational and autonomous decision-making, high exposure to influencers can amplify collective herding biases, particularly among less experienced Gen Z and Millennial investors.

Dr. Muhammad Afzal et. al. (2026) The study examines the significant impact of cognitive biases—specifically representativeness, overconfidence, anchoring, and availability—on investment decision-making within the Pakistani equity market. Research indicates that individual investors often rely on heuristics and mental shortcuts rather than statistical data, leading to suboptimal financial choices and strained relationships with advisors. Studies have shown that while representative bias causes investors to favor locally known assets like gold or property, overconfidence often results in high portfolio turnover and increased risk-taking despite a lack of formal financial knowledge. Availability bias further complicates decisions, as investors frequently follow herding behaviors based on recent, memorable media tips or peer information. Additionally, demographic factors such as age and marital status serve as critical moderators; for instance, single and younger investors typically exhibit higher levels of overconfidence and risk tolerance compared to their married or older counterparts. Consequently, the literature highlights a vital need for enhanced financial literacy and behavioral interventions to mitigate these biases and improve market efficiency.

El Mehdi DOUHABI et. al. (2026) The literature highlights a transition from traditional financial theories of rationality to behavioral finance, which integrates cognitive psychology to explain market anomalies. Key studies by Tversky and Kahneman established that heuristics and biases significantly influence decision-making under uncertainty. Research identifies **recency bias** as a driver for performance-chasing, where investors over-prioritize recent gains, and **herding behavior**, where individuals mimic others, often leading to market volatility. While these biases are well-documented in conventional markets, the literature regarding Environmental, Social, and Governance (ESG) investing suggests a different pattern; many ESG investors appear more stable and less influenced by short-term financial fluctuations due to their focus on long-term ethical alignment. However, thematic green funds—like those in clean energy—may still attract speculative capital that remains susceptible to these psychological influences.

Andi Nabila Dwi Ramadhani (2026) The study explores how psychological and macroeconomic factors shape global investment. While the study on international investment identifies inflation and exchange rates as critical determinants of investor confidence,

"133.pdf" emphasizes that psychological biases like recency and herding further complicate these decisions. High inflation and exchange rate volatility increase perceived risk, yet behavioral finance suggests that investors often rely on heuristics rather than purely objective data. Interestingly, while conventional investors may engage in profit-taking during market shifts, ESG-focused investors often display more stability due to long-term ethical commitments. Ultimately, both sources conclude that while economic stability is essential for capital inflows, understanding the underlying cognitive biases is vital for a comprehensive view of market behavior.

V. Sujata et. al. (2025) This study shows that behavioral finance challenges the idea of fully rational investors, highlighting the role of biases like overconfidence and herd behavior in decision-making. Early theories such as prospect theory explain how investors react differently to gains and losses, often leading to irrational choices. Studies also reveal that heuristics and psychological biases can result in mispricing and poor investment outcomes. With the rise of FinTech and AI, research indicates that digital tools help reduce information gaps and support more data-driven decisions. AI-based platforms provide insights, automate processes, and guide investors toward rational behavior. Overall, the literature suggests that technology and financial literacy together can minimize biases and improve investment decisions.

Pooja Parsai et. al. (2025) Financial literacy serves as a cornerstone of modern financial management, empowering individuals to make informed choices regarding saving, borrowing, and investing. This review highlights that higher financial knowledge increases investor confidence and rational decision-making, whereas a lack of such literacy often leads to risk avoidance or costly financial errors. Factors such as age, education level, and market conditions significantly shape these investment behaviors and overall economic well-being. Furthermore, the study suggests that combining financial education with a moderate degree of overconfidence can lead to more effective portfolio diversification and better outcomes. Ultimately, promoting financial awareness across all demographics is essential for fostering individual economic independence and broader market stability.

Vijaya Ahilaji Tupe et. al. (2025) The purpose of this study is to Analysis of the Indian stock market during the COVID-19 pandemic reveals that while the Nifty 50 experienced a sharp decline to 8,678.30 in March 2020, it rebounded to reach a bullish high by year-end. During this period, retail investor participation surged, with the total number of Demat accounts

in India skyrocketing from 8.97 crore in early 2020 to 19.10 crore by June 2024. This growth was driven by factors such as low interest rates, digital transformation in the brokerage sector, and an increased awareness of the stock market as an alternate income source. Investors navigated market volatility by increasingly utilizing fundamental analysis to determine intrinsic value and technical analysis to predict short-term price movements. Research indicates that despite initial panic, retail sentiments remained resilient, viewing the market crash as an opportunity for portfolio creation. Furthermore, the study notes that the long-term upward trend post-pandemic has fostered a new era of financial inclusion and investment-driven behavior in India.

Shanmugasundaram et. al. (2025) The study demonstrates that behavioral biases, specifically confirmation and conservatism biases, significantly drive the investment decisions of life insurance policyholders. It introduces a serial mediation model showing that these biases first fuel **overconfidence**, which subsequently triggers the **disposition effect**. This psychological chain explains approximately **35.3%** of investor behavior, as policyholders often rely on intuition rather than rational data. Ultimately, the research highlights that while biases don't always directly lead to poor trading habits, they do so indirectly by inflating an investor's belief in their own competence.

Kulkarni et. al. (2025) Recent research into AI-powered financial robo-advisors (AIPFRA) demonstrates that these automated systems significantly influence retail investment decisions by addressing deep-seated behavioral biases. The study highlights how technical features such as perceived interactivity, personalization, and algorithmic transparency serve as critical mechanisms to mitigate loss aversion and overconfidence. Interestingly, while structural security remains a foundation for trust, it was found that experiential factors—like the ability to understand the "why" behind an investment suggestion—are more effective at reducing irrational investor fears than mere systemic assurances. Furthermore, the study identifies financial literacy as a vital moderator, showing that educated investors are better equipped to leverage robo-advice to bypass cognitive errors. Ultimately, the integration of Prospect Theory and the Theory of Heuristics into these digital tools fosters a more rational, data-driven framework for retail individual investors (RIIs)

Sanjay Nakharu Prasad Kumar (2025) This study explores the Multi-agent AI systems are transforming financial decision-making by leveraging groups of specialized intelligent agents that collaborate to solve complex problems exceeding the capabilities of

single models. Research indicates that these systems achieve up to 42% better accuracy in forecasting and a 35% improvement in decision quality by simulating human-like expert discussions and hierarchical trading desk structures. By integrating Large Language Models (LLMs) with forward-looking argument mining, agents can systematically analyze future scenarios, leading to risk-adjusted return improvements of up to 31%. Furthermore, these architectures provide 87% higher transparency for regulatory compliance and exhibit 65% lower variance in returns during volatile markets compared to single-agent systems. Despite these strengths, the field faces significant hurdles, including high computational costs (3-5x higher) and risks of bias amplification. Currently, while 78% of financial institutions have initiated exploratory projects, only 12% have progressed beyond the proof-of-concept stage as the industry awaits more robust coordination and security solutions.

Kaishav Jajoo (2025) This study explores how Fear of Missing Out (FOMO) acts as a primary psychological driver in modern financial decision-making. It highlights how social media platforms like Instagram and YouTube amplify this anxiety by showcasing curated success stories, often leading younger and less financially literate investors to make impulsive, high-risk choices in markets like cryptocurrency and "meme stocks". Through a mixed-method study of over 350 respondents, the research finds that FOMO frequently causes individuals to prioritize short-term gains over long-term stability, resulting in significant financial loss and emotional stress. The paper concludes that while education and higher income can provide some resilience, there is an urgent need for targeted financial literacy programs and stricter regulatory oversight of "finfluencers" to mitigate these irrational investment behaviors.

Fazelina Sahul Hamid (2025) This study investigates how behavioral biases—specifically self-control, overconfidence, mental accounting, and availability bias—influence over-indebtedness among young, low-income consumer loan holders in Malaysia. The findings reveal that self-control bias significantly increases the risk of debt arrears, as individuals prioritize immediate gratification over long-term financial stability. Conversely, overconfidence and mental accounting are associated with lower levels of over-indebtedness, suggesting these traits may actually help consumers manage and categorize their finances more prudently. However, **availability bias** was shown to worsen credit card debt repayment, likely because familiar examples of financial distress lead to poor decision-making. To combat these issues, the study recommends targeted **financial education and policy interventions** that foster better self-discipline and awareness of these psychological triggers.

Isik Akin et. al (2024) This study explores how behavioral finance influences S&P 500 volatility by analyzing a decade of data on market anomalies and investor psychology. Using time-series analysis, the researchers found that rising real interest rates and credit default swap rates negatively impact stock prices, primarily driven by loss aversion, risk perception, and herding behavior. Conversely, higher consumer confidence fosters market growth through optimism and collective herding. The analysis also confirms a significant negative correlation between market volatility (VIX) and the S&P 500, as investors influenced by recency bias and risk aversion often flee to safer assets during turbulent periods. Ultimately, the findings suggest that psychological biases like overconfidence and sentiment are central to understanding market inefficiencies and making resilient investment decisions.

CHAPTER – III
RESEARCH METHODOLOGY

CHAPTER – III**RESEARCH METHODOLOGY**

Research methodology is a systematic way of solving the research problem. It includes the methods and techniques used for collecting, analyzing, and interpreting data related to the study. This chapter explains the research design, sampling method, data collection methods, and statistical tools used in the study titled “*A Study on Behavioral Biases in Investment Decisions.*”

RESEARCH DESIGN

This study uses descriptive research design. Descriptive research helps in describing the characteristics, opinions, and behavior of investors regarding behavioral biases in investment decisions. Quantitative research method is used to collect measurable data for statistical analysis.

HYPOTHESIS

Hypothesis is a tentative assumption or prediction made by the researcher regarding the relationship between variables in a study. It helps in testing the validity of the research problem through statistical analysis. In this study titled “A Study on Behavioral Biases in Investment Decisions,” the hypothesis is formulated to examine whether behavioral biases significantly influence the investment decisions of investors.

Null Hypothesis (H_0): There is no significant relationship between behavioral biases and investment decisions among investors.

Alternative Hypothesis (H_1): There is a significant relationship between behavioral biases and investment decisions among investors.

SAMPLING METHOD

The sampling method adopted for this study is convenience sampling. Convenience sampling is a non-probability sampling technique where respondents are selected based on their availability and willingness to participate in the study.

SAMPLING UNIT

The sampling unit of the study consists of individual investors who are involved in various investment activities.

SAMPLE SIZE

The sample size refers to the number of respondents selected for the study. The sample size for this research is 105 respondents.

SAMPLING AREA

The area selected for conducting the study is Chennai.

PERIOD OF STUDY

The study was conducted for a period of 1 months from April 2026 to May 2026.

DATA COLLECTION METHOD

Data collection is the process of gathering information for the purpose of analysis and interpretation. Both primary and secondary data were used in this study.

PRIMARY DATA

Primary data were collected directly from the respondents through a structured questionnaire. The questionnaire included demographic questions and statements related to behavioral biases influencing investment decisions.

SECONDARY DATA

Secondary data were collected from journals, research articles, books, magazines, and websites related to behavioral finance and investment decisions.

STATISTICAL TOOLS USED

Statistical tools are used to analyze and interpret the collected data effectively. The following statistical tools were used in the study:

❖ SIMPLE PERCENTAGE ANALYSIS

Simple percentage analysis is used to analyze demographic factors and responses of the respondents.

$$\text{Percentage of responses} = (\text{Number of responses} / \text{Total respondents}) \times 100$$

❖ CHI-SQUARE TEST

Chi-square test is used to identify whether there is any significant association between demographic variables and behavioral biases affecting investment decisions.

$$\chi^2 = \sum \frac{(O_i - E_i)^2}{E_i}$$

SAMPLE UNIT

Individual Investors

SAMPLE SIZE

105 Respondents

DATA COLLECTION METHOD

Primary Data through Questionnaire Method

CHAPTER – IV
DATA ANALYSIS AND INTERPRETATION

CHAPTER – IV
DATA ANALYSIS AND INTERPRETATION

TABLE – 4.1
GENDER OF THE RESPONDENTS

S. NO	GENDER	FREQUENCY	PERCENTAGE
1	Male	67	64%
2	Female	38	36%
	TOTAL	105	100%

INTERPRETATION

The table 4.1 depicts the gender composition of the respondents. It is revealed that 67% of the respondents were male, 36% of the respondents were female. It is found that the majority of the respondents were male.

CHART – 4.1
GENDER OF THE RESPONDENTS

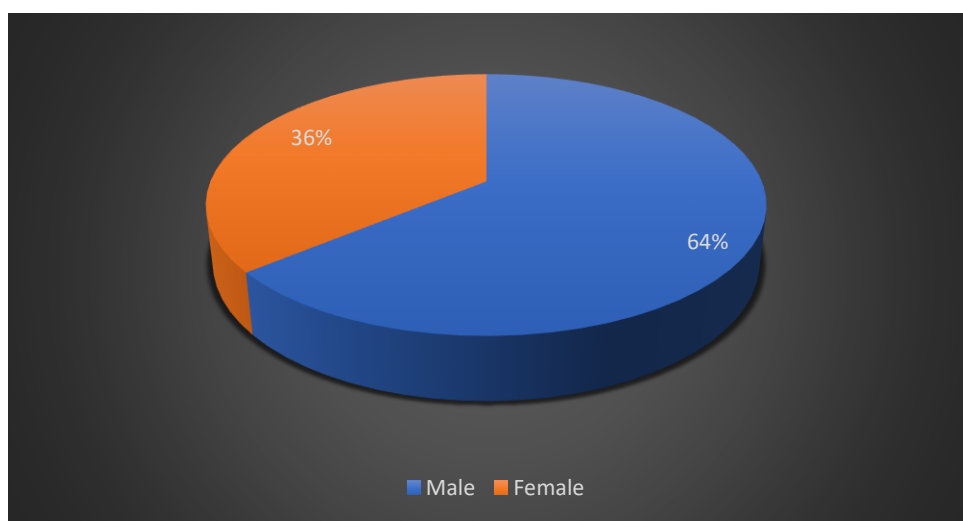


TABLE – 4.2
AGE OF THE RESPONDENTS

S. NO	AGE GROUP	FREQUENCY	PERCENTAGE
1	Below 20	20	19%
2	21–30	45	43%
3	31–40	22	21%
4	41–50	12	11%
5	Above 50	6	6%
	TOTAL	105	100%

INTERPRETATION

The table 4.2 explained the age composition of the respondents. It is shown that 19% of the respondents were below 20 years, 43% of the respondents were in the age group 21–30, 21% of the respondents were in the age group 31–40, 11% of the respondents were in the age group 41–50 and 6% of the respondents were above 50 years. It is found that the majority of the respondents were in the age group 21–30.

CHART – 4.2
AGE OF THE RESPONDENTS

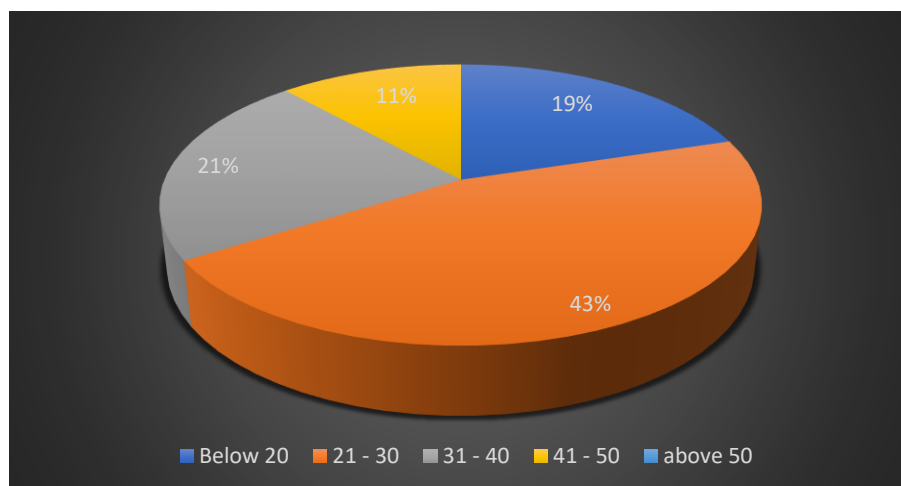


TABLE – 4.3**EDUCATIONAL QUALIFICATION OF THE RESPONDENTS**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	School Level	10	10%
2	Undergraduate	50	48%
3	Postgraduate	30	29%
4	Professional Qualification	10	10%
5	Others	5	3%
	TOTAL	105	100%

INTERPRETATION

The table 4.3 explained the educational qualifications of the respondents. It is shown that 10% of the respondents were completed school level education, 48% of the respondents were undergraduate, 29% of the respondents were postgraduate, 10% of the respondents were professionally qualified and 3% of the respondents were completed other qualifications. It is found that the majority of the respondents were undergraduate.

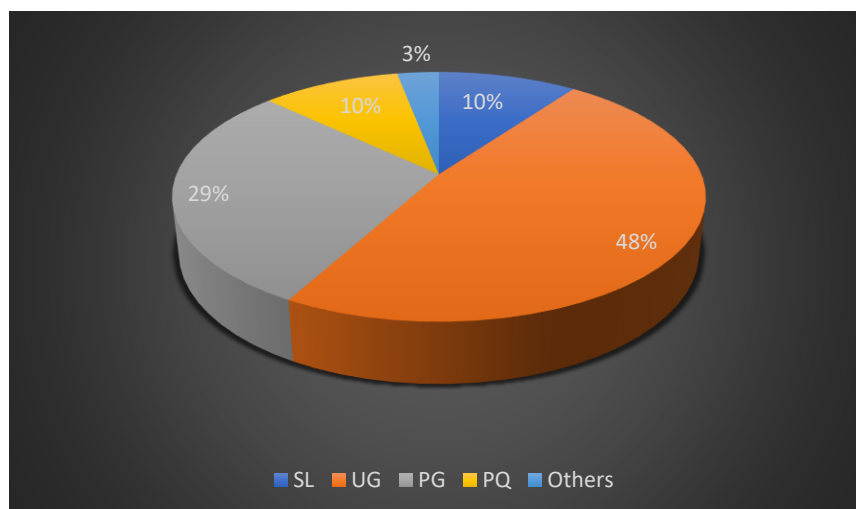
CHART – 4.3**EDUCATIONAL QUALIFICATION OF THE RESPONDENTS**

TABLE – 4.4**MONTHLY INCOME OF THE RESPONDENTS**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Below ₹20,000	30	29%
2	₹20,001 – ₹50,000	40	38%
3	₹50,001 – ₹1,00,000	25	24%
4	Above ₹1,00,000	10	9%
	TOTAL	105	100%

INTERPRETATION

The table 4.4 demonstrates the monthly income of the respondents. It is shown that 29% of the respondents had income below ₹20,000, 38% of the respondents had income between ₹20,001 – ₹50,000, 24% of the respondents had income between ₹50,001 – ₹1,00,000 and 9% of the respondents had income above ₹1,00,000. It is found that the majority of the respondents had income between ₹20,001 – ₹50,000.

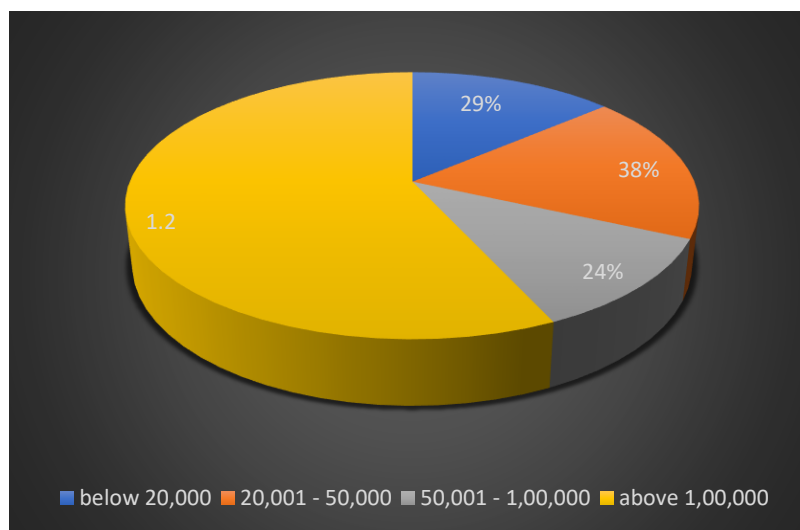
CHART – 4.4**MONTHLY INCOME OF THE RESPONDENTS**

TABLE – 4.5**INVESTMENT EXPERIENCE OF THE RESPONDENTS**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Less than 1 year	25	24%
2	1–3 years	35	33%
3	3–5 years	25	24%
4	More than 5 years	20	19%
	TOTAL	105	100%

INTERPRETATION

The table 4.5 explained the investment experience of the respondents. It is shown that 24% of the respondents had less than 1 year experience, 33% of the respondents had 1–3 years experience, 24% of the respondents had 3–5 years experience and 19% of the respondents had more than 5 years experience. It is found that the majority of the respondents had 1–3 years of investment experience.

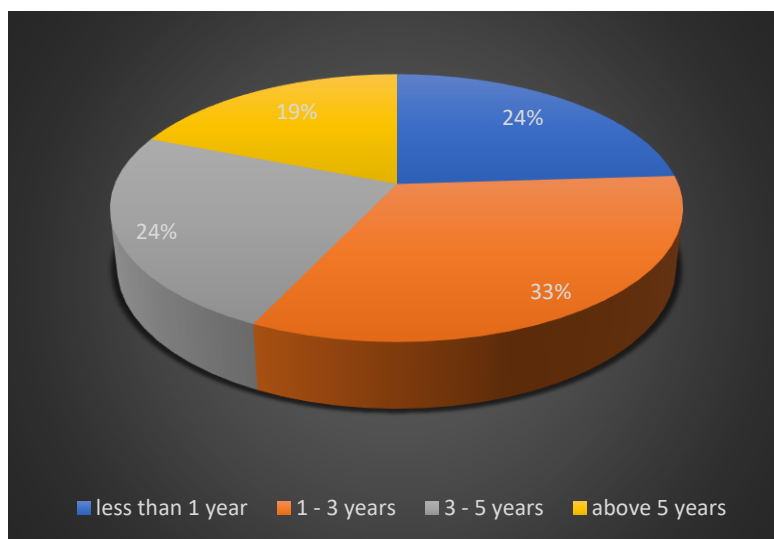
CHART – 4.5**INVESTMENT EXPERIENCE OF THE RESPONDENTS**

TABLE – 4.6**AWARENESS OF PSYCHOLOGICAL FACTORS IN INVESTMENT**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	26	25%
2	Agree	34	32%
3	Neutral	20	19%
4	Disagree	15	14%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.6 explains that 32% of the respondents agree and 25% strongly agree that psychological factors influence investment decisions. It is found that the majority of respondents are aware of psychological influences in investing.

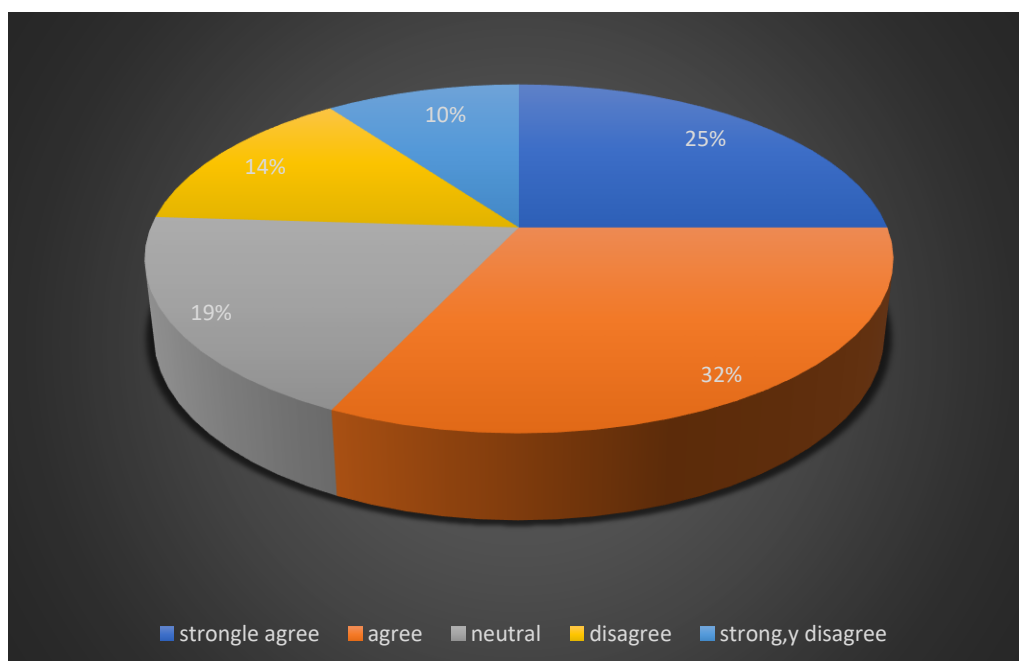
CHART – 4.6

TABLE – 4.7**AWARENESS OF BEHAVIORAL BIASES**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	20	19%
2	Agree	30	29%
3	Neutral	25	24%
4	Disagree	18	17%
5	Strongly Disagree	12	11%
TOTAL		105	100%

INTERPRETATION

The table 4.7 explained that the awareness of behavioral biases. It is shown that 19% of the respondents were strongly agree, 29% were agree, 24% were neutral, 17% were disagree, and 11% were strongly disagree. It is found that the majority of the respondents were agreeing that they are aware of behavioral biases in investing.

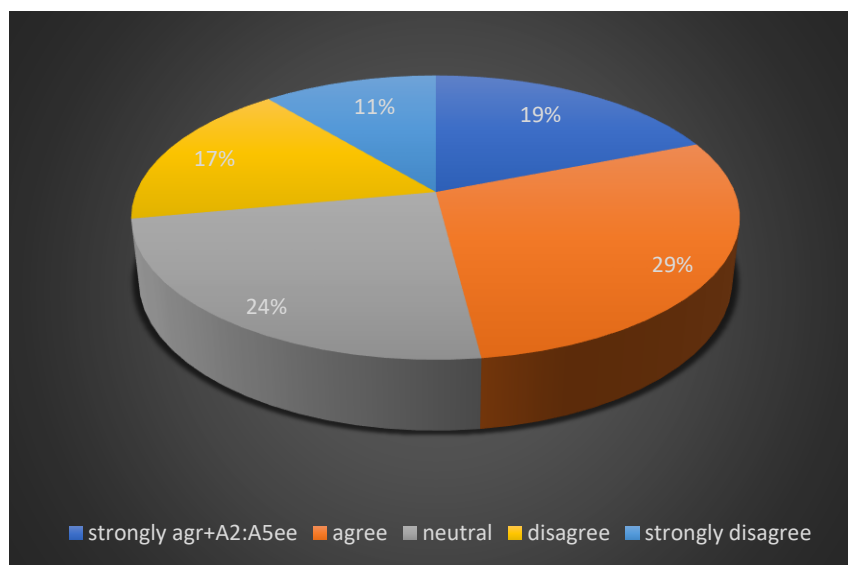
CHART – 4.7

TABLE – 4.8**EMOTIONAL INFLUENCE ON INVESTMENT DECISIONS**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	30	29%
2	Agree	35	33%
3	Neutral	18	17%
4	Disagree	12	11%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.8 explained that the emotional influence on investment decisions. It is shown that 29% of the respondents were strongly agree, 33% were agree, 17% were neutral, 11% were disagree, and 10% were strongly disagree. It is found that the majority of the respondents were agreeing that emotions influence investment decisions.

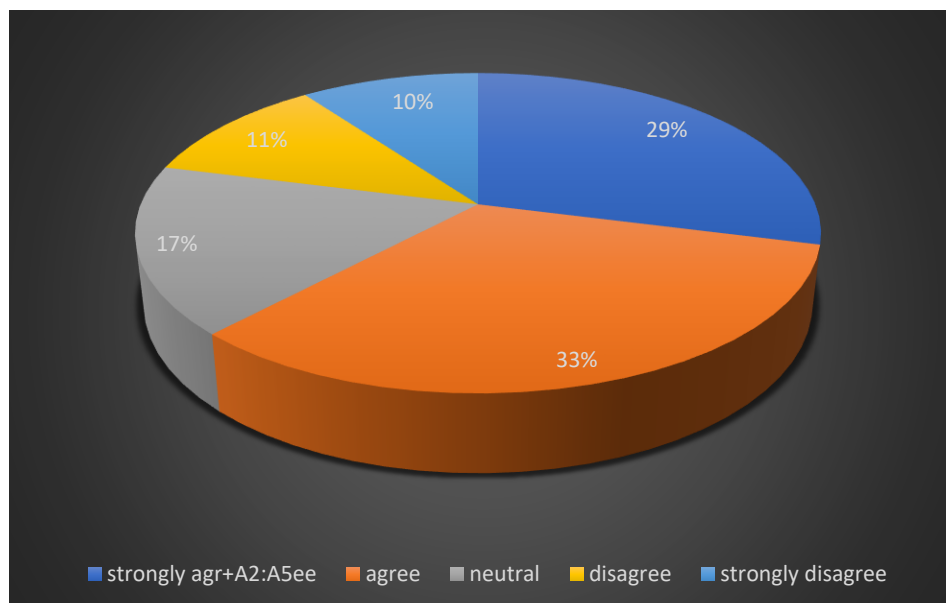
CHART – 4.8

TABLE – 4.9**INFLUENCE OF PAST INVESTMENT EXPERIENCE**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	22	21%
2	Agree	33	31%
3	Neutral	25	24%
4	Disagree	15	14%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.9 explained that the influence of past investment experience. It is shown that 21% of the respondents were strongly agree, 31% were agree, 24% were neutral, 14% were disagree, and 10% were strongly disagree. It is found that the majority of the respondents were agreeing that past investment experience influences decision making.

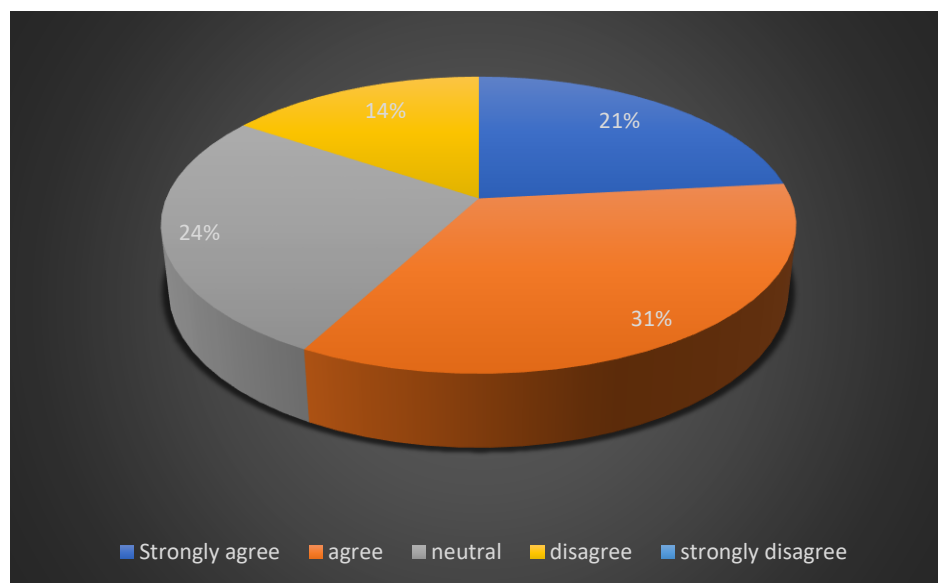
CHART – 4.9

TABLE – 4.10**PREFERENCE FOR FAMILIAR INVESTMENTS**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	25	24%
2	Agree	36	34%
3	Neutral	20	19%
4	Disagree	14	13%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.10 explained that the preference for familiar investments. It is shown that 24% of the respondents were strongly agree, 34% were agree, 19% were neutral, 13% were disagree, and 10% were strongly disagree. It is found that the majority of the respondents were agreeing that they prefer familiar investments.

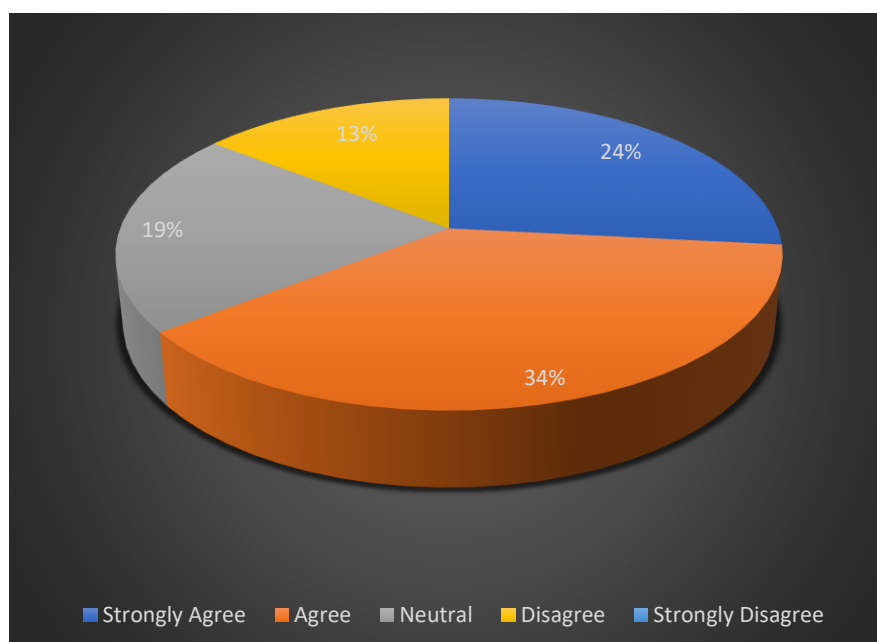
CHART – 4.10

TABLE – 4.11**LOSS AVERSION BEHAVIOR**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	28	27%
2	Agree	32	30%
3	Neutral	18	17%
4	Disagree	15	14%
5	Strongly Disagree	12	12%
TOTAL		105	100%

INTERPRETATION

The table 4.11 explained that the loss aversion behavior. It is shown that 27% of the respondents were strongly agree, 30% were agree, 17% were neutral, 14% were disagree, and 12% were strongly disagree. It is found that the majority of the respondents were agreeing that they hesitate to sell investments at a loss.

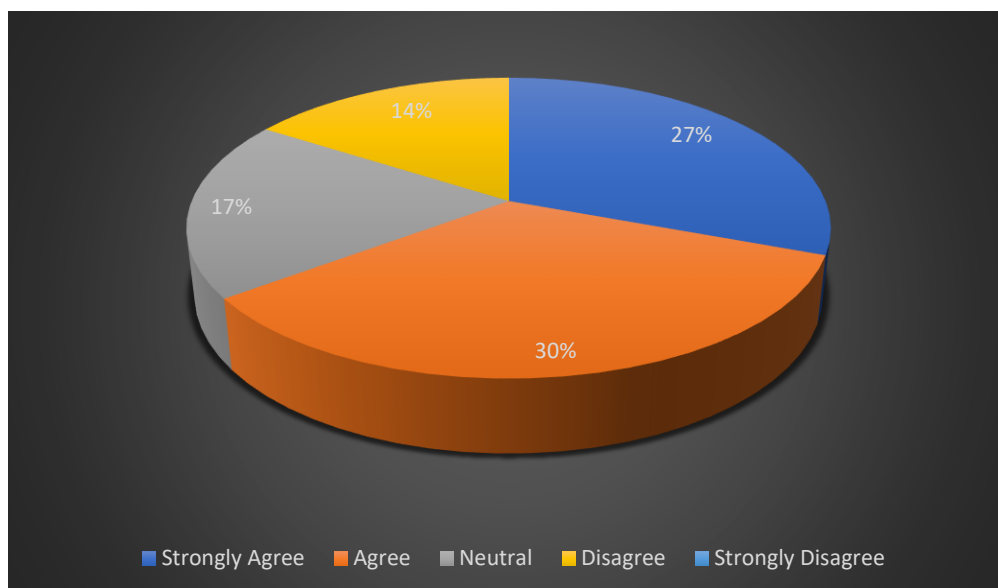
CHART – 4.11

TABLE – 4.12**HERD BEHAVIOR IN INVESTMENT**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	24	23%
2	Agree	34	32%
3	Neutral	20	19%
4	Disagree	15	14%
5	Strongly Disagree	12	12%
TOTAL		105	100%

INTERPRETATION

The table 4.12 explained that the herd behavior in investment. It is shown that 23% of the respondents were strongly agree, 32% were agree, 19% were neutral, 14% were disagree, and 12% were strongly disagree. It is found that the majority of the respondents were agreeing that they follow market trends or others' decisions.

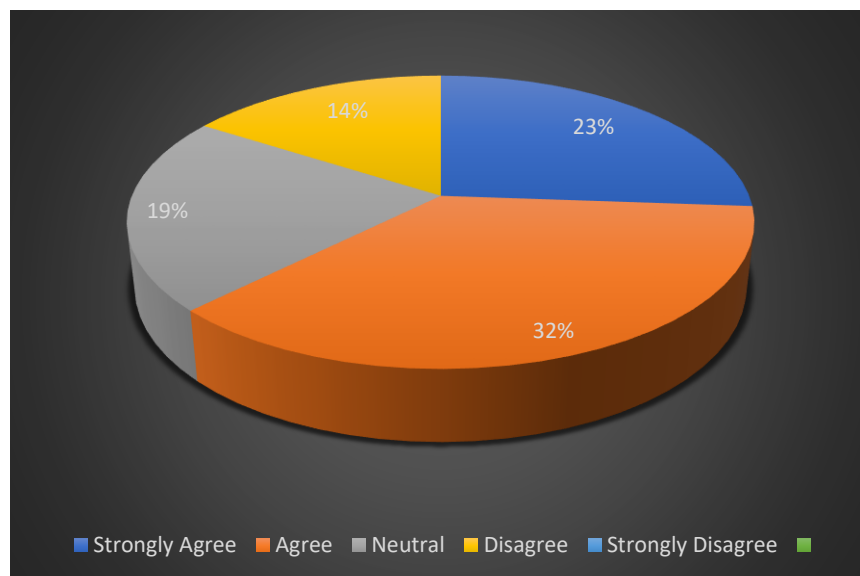
CHART – 4.12

TABLE – 4.13**RECENCY BIAS IN DECISION MAKING**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1		26	25%
2	Agree	33	31%
3	Neutral	21	20%
4	Disagree	14	13%
5	Strongly Disagree	11	11%
TOTAL		105	100%

INTERPRETATION

The table 4.13 explained that the recency bias in decision making. It is shown that 25% of the respondents were strongly agree, 31% were agree, 20% were neutral, 13% were disagree, and 11% were strongly disagree. It is found that the majority of the respondents were agreeing that recent information influences their investment decisions.

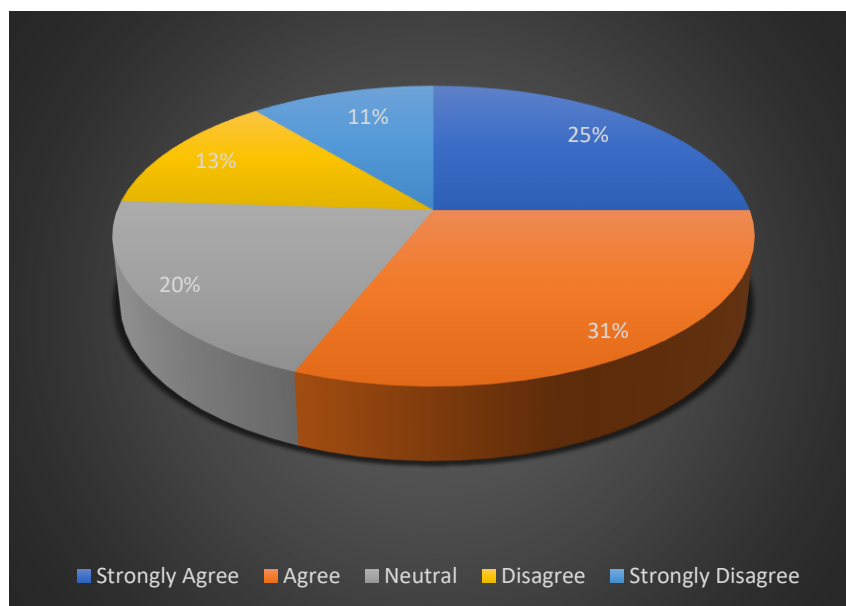
CHART – 4.13

TABLE – 4.14**PERSONAL BELIEF INFLUENCE**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	27	26%
2	Agree	35	33%
3	Neutral	18	17%
4	Disagree	14	13%
5	Strongly Disagree	11	11%
TOTAL		105	100%

INTERPRETATION

The table 4.14 explained that the personal belief influence. It is shown that 26% of the respondents were strongly agree, 33% were agree, 17% were neutral, 13% were disagree, and 11% were strongly disagree. It is found that the majority of the respondents were agreeing that personal beliefs influence their decisions.

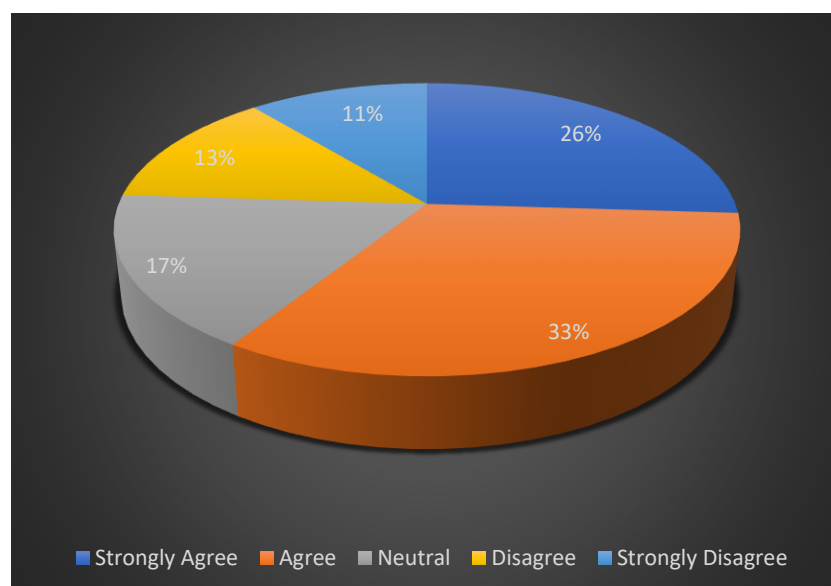
CHART – 4.14

TABLE – 4.15
QUICK DECISION MAKING

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	22	21%
2	Agree	30	29%
3	Neutral	25	24%
4	Disagree	16	15%
5	Strongly Disagree	12	11%
TOTAL		105	100%

INTERPRETATION

The table 4.15 explained that the quick decision-making behavior. It is shown that 21% of the respondents were strongly agree, 29% were agree, 24% were neutral, 15% were disagree, and 11% were strongly disagree. It is found that the majority of the respondents were agreeing that they make quick investment decisions.

CHART – 4.15

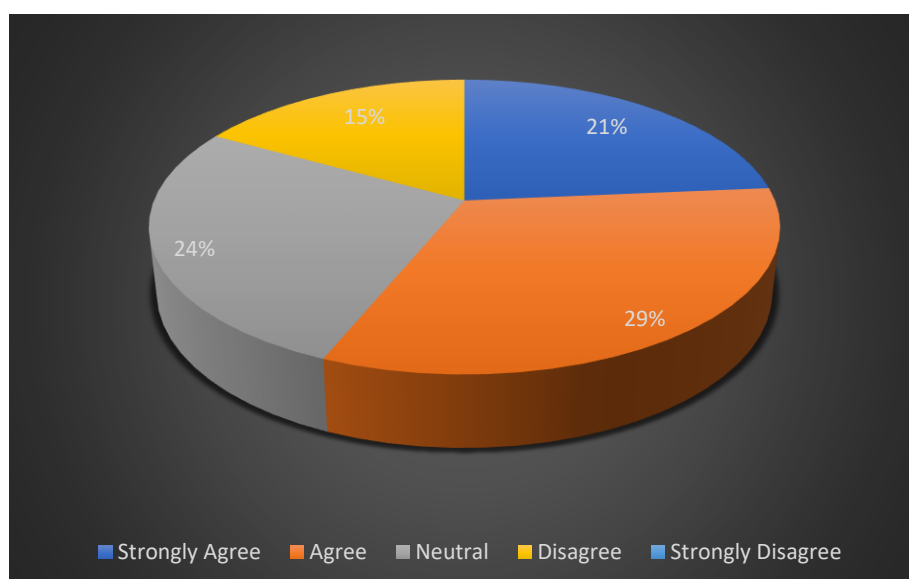


TABLE – 4.16
OVERCONFIDENCE IN INVESTMENT

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	23	22%
2	Agree	31	30%
3	Neutral	22	21%
4	Disagree	17	16%
5	Strongly Disagree	12	11%
TOTAL		105	100%

INTERPRETATION

The table 4.16 explained that the overconfidence in investment. It is shown that 22% of the respondents were strongly agree, 30% were agree, 21% were neutral, 16% were disagree, and 11% were strongly disagree. It is found that the majority of the respondents were agreeing that they feel confident even with limited information.

CHART – 4.16

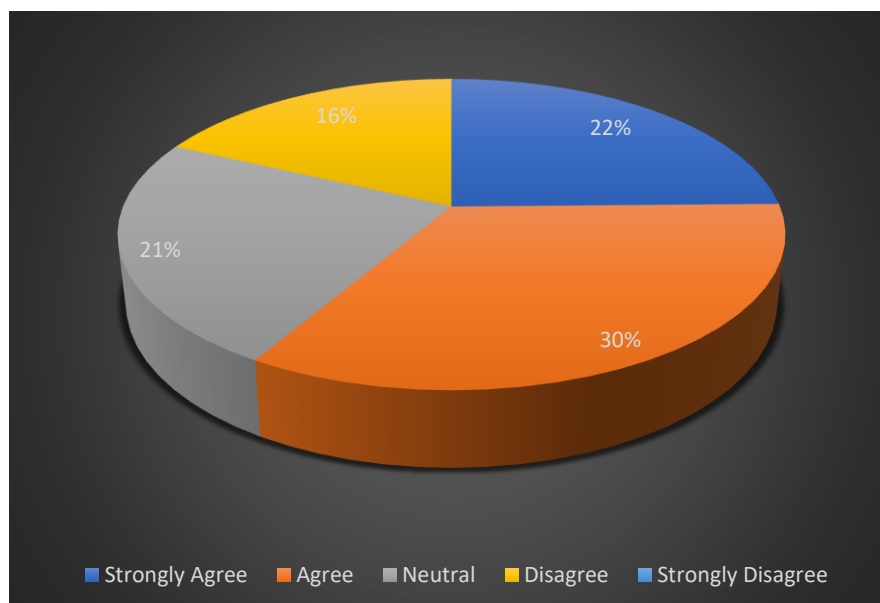


TABLE – 4.17**IMPACT OF EMOTIONAL DECISIONS**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	25	24%
2	Agree	34	32%
3	Neutral	20	19%
4	Disagree	15	14%
5	Strongly Disagree	11	11%
TOTAL		105	100%

INTERPRETATION

The table 4.17 explained that the impact of emotional decisions. It is shown that 24% of the respondents were strongly agree, 32% were agree, 19% were neutral, 14% were disagree, and 11% were strongly disagree. It is found that the majority of the respondents were agreeing that emotional decisions affect investment returns.

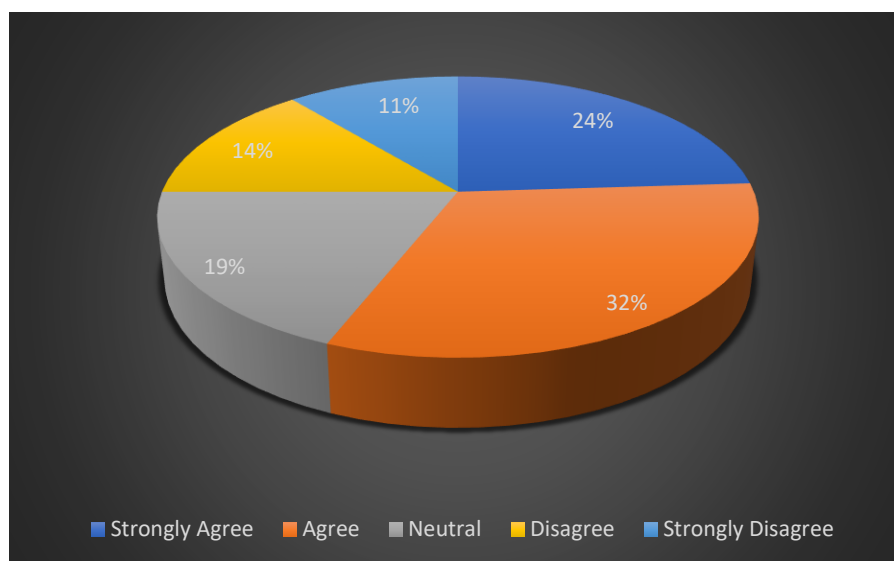
CHART – 4.17

TABLE – 4.18**IMPACT OF BIASES ON PERFORMANCE**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	28	27%
2	Agree	36	34%
3	Neutral	18	17%
4	Disagree	13	12%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.18 explained that the impact of biases on performance. It is shown that 27% of the respondents were strongly agree, 34% were agree, 17% were neutral, 12% were disagree, and 10% were strongly disagree. It is found that the majority of the respondents were agreeing that behavioral biases lead to poor financial performance.

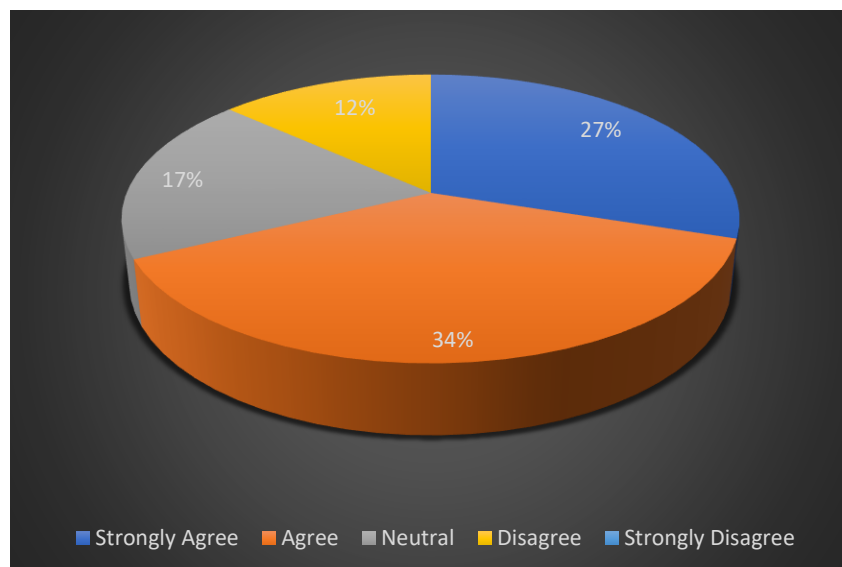
CHART – 4.18

TABLE – 4.19
ROLE OF FINANCIAL EDUCATION

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	30	29%
2	Agree	35	33%
3	Neutral	18	17%
4	Disagree	12	11%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.19 explained that the role of financial education. It is shown that 29% of the respondents were strongly agree, 33% were agree, 17% were neutral, 11% were disagree, and 10% were strongly disagree. It is found that the majority of the respondents were agreeing that financial education can reduce behavioral biases.

CHART – 4.19

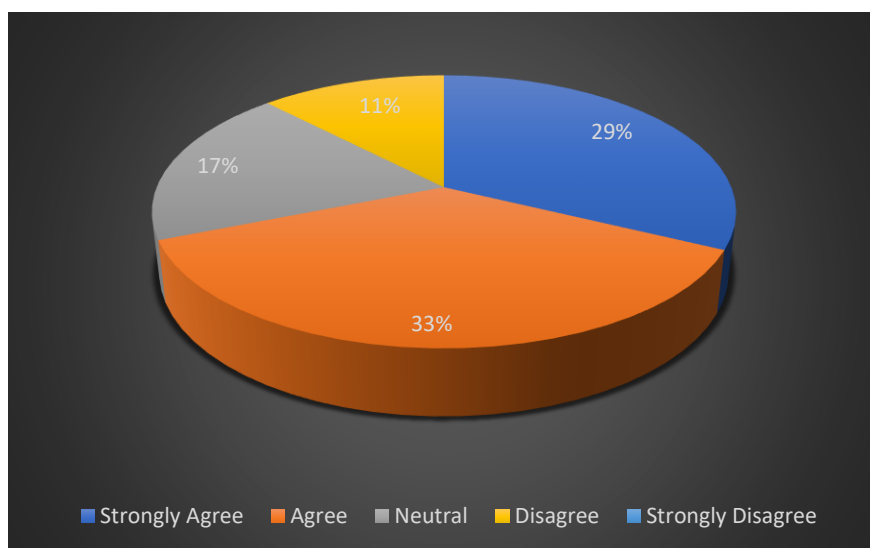
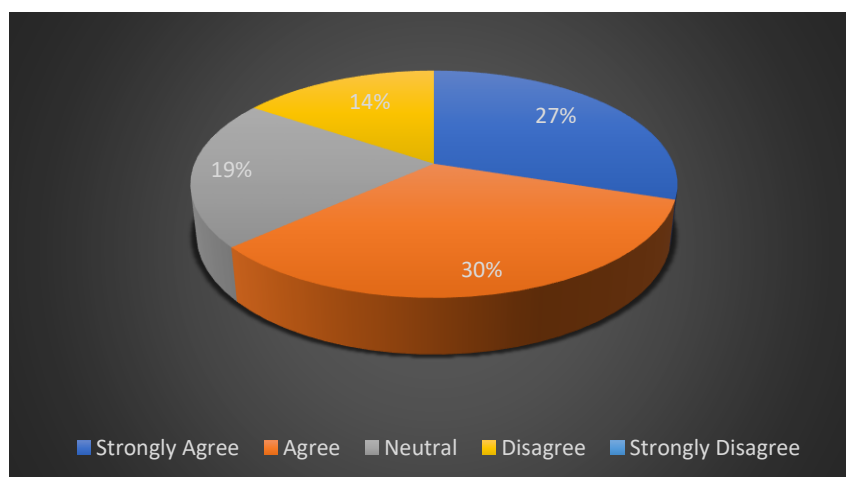


TABLE – 4.20**IMPORTANCE OF PROFESSIONAL ADVICE**

S. NO	PARTICULAR	FREQUENCY	PERCENTAGE
1	Strongly Agree	28	27%
2	Agree	32	30%
3	Neutral	20	19%
4	Disagree	15	14%
5	Strongly Disagree	10	10%
TOTAL		105	100%

INTERPRETATION

The table 4.20 explained that the importance of professional advice. It is shown that 27% of the respondents were strongly agree, 30% were agree, 19% were neutral, 14% were disagree, and 10% were strongly disagree. It is found that the majority of the respondents were agreeing that professional advice helps in making better investment decisions.

CHART – 4.20

INTERPRETATION BASED ON CHI – SQUARE TEST OF INDEPENDENCE

PROBLEM OF THE STATEMENT

Respondents were asked about their age and whether professional advice helps in making better investment decisions. There were 5 answer choices through a linear scale: Strongly Agree, Agree, Neutral, Disagree, and Strongly Disagree. A test for an association between age and opinion regarding professional advice using the Chi-Square Test of Independence is done. (Use $\alpha = 0.05$)

HYPOTHESIS

H0: Age is not associated with professional advice helping in making better investment decisions.

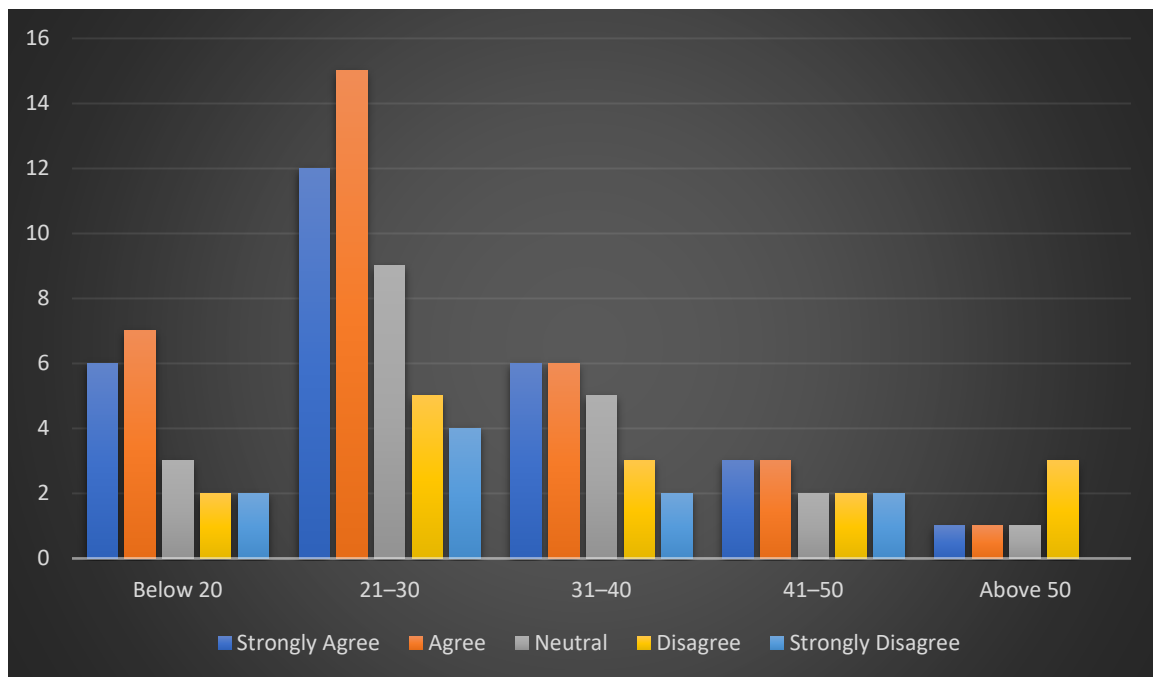
H1: Age is associated with professional advice helping in making better investment decisions.

CLUSTERED BAR CHART

One way to visualize the association between two categorical variables is by using a clustered bar chart. The clusters in the chart are determined by the age groups, while the coloured bars represent the opinion levels regarding professional advice in making investment decisions.

CHART – 4.21

CLUSTERED BAR CHART



The “clusters” in a clustered bar chart are determined by the row variable. The colour of the bars is determined by the column variable. The height of each bar represents the total of observation in that particular combination of categories. This type of chart emphasizes the differences within the categories of the row variable.

OUTPUT

TABLES

The first table is the case processing summary, which tells us the number of valid cases used for analysis. Only cases with no missing values can be used in the test.

Case Processing Summary

Cases	Valid	Missing	Total
	N	Percent	N
Professional advice helps in making better investment decisions * Age	105	100.0%	0

Professional Advice Helps in Making Better Investment Decisions * Age
Crosstabulation

Particulars	Below 20	21–30	31–40	41–50	Above 50	Total
Strongly Agree	6	12	6	3	1	28
Agree	7	15	6	3	1	32
Neutral	3	9	5	2	1	20
Disagree	2	5	3	2	3	15
Strongly Disagree	2	4	2	2	0	10
Total	20	45	22	12	6	105

Chi – Square Tests

Test	Value	df	Asymptotic Significance (2-sided)
Pearson Chi-Square	14.286a	16	0.576
Likelihood Ratio	15.102	16	0.518
N of Valid Cases	105		

a. 15 cells (60.0%) have expected count less than 5. The minimum expected count is 0.57.

FINDINGS

The key result in the Chi-Square Test table is the Pearson Chi-Square.

- The value of the test statistic is 14.286
- The corresponding p-value of the test statistic is 0.576
- Since some expected cell counts are less than 5, the assumption is partially violated.

DECISION AND CONCLUSION

Since the p-value is greater than the chosen significance level ($\alpha = 0.05$), we do not reject the null hypothesis.

Therefore, it is concluded that there is no significant association between age and the opinion that professional advice helps in making better investment decisions.

Based on the results, we can state the following:

No association was found between age and professional advice helping in making better investment decisions ($\chi^2 = 14.286$, $p = 0.576$).

CHAPTER - V
FINDINGS, SUGGESTIONS & CONCLUSIONS

CHAPTER – V

FINDINGS, SUGGESTIONS AND CONCLUSIONS

5.1 FINDINGS

- 64% of the respondents were male.
- 43% of the respondents were in the age group 21–30.
- 48% of the respondents had completed undergraduate education.
- 38% of the respondents had income between ₹20,001–₹50,000.
- 33% of the respondents had 1–3 years of investment experience.
- 32% of the respondents were agreeing that psychological factors influence investment decisions.
- 29% of the respondents were agreeing that they are aware of behavioral biases in investing.
- 33% of the respondents were agreeing that emotions like fear and greed affect investment decisions.
- 31% of the respondents were agreeing that past investment experience influences decision making.
- 34% of the respondents were agreeing that they prefer familiar investment options.
- 30% of the respondents were agreeing that they hesitate to sell investments at a loss.
- 32% of the respondents were agreeing that they follow market trends or others' decisions.
- 31% of the respondents were agreeing that recent information influences their investment decisions.
- 33% of the respondents were agreeing that personal beliefs influence investment decisions.
- 29% of the respondents were agreeing that they make quick investment decisions without detailed research.
- 30% of the respondents were agreeing that they feel confident even with limited information.
- 32% of the respondents were agreeing that emotional decisions affect their investment returns.

- 34% of the respondents were agreeing that behavioral biases lead to poor financial performance.
- 33% of the respondents were agreeing that financial education can reduce behavioral biases.
- 30% of the respondents were agreeing that professional advice helps in making better investment decisions.

5.2 SUGGESTIONS

Based on the findings of the study and the observations of the researcher, the following suggestions are for improving Investment Decisions

- Investors should be educated about behavioral biases such as overconfidence, herd behavior, and loss aversion to improve decision making.
- Financial literacy programs should be promoted to help investors understand the impact of psychological factors on investments.
- Investors should avoid making decisions based purely on emotions such as fear and greed and focus more on rational analysis.
- Proper research and analysis should be conducted before making investment decisions to reduce impulsive behavior.
- Investors should diversify their investments instead of relying only on familiar companies or industries.
- Professional financial advice should be encouraged to improve investment outcomes and reduce biased decisions.
- Awareness programs and workshops can be conducted to improve understanding of market behavior and investment strategies.
- Investors should evaluate both past and present market information rather than relying only on recent trends.

5.3 CONCLUSION

In conclusion, the study reveals that behavioral biases play a significant role in influencing investment decisions among respondents. Factors such as emotions, personal beliefs, past experiences, and market trends significantly affect investor behavior.

The findings indicate that while many respondents are aware of behavioral biases, their decisions are still influenced by psychological factors, leading to potential inefficiencies in investment outcomes.

Financial education and professional guidance can help investors overcome these biases and make more rational and informed investment decisions. Therefore, improving awareness and promoting disciplined investment strategies are essential for achieving better financial performance.

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ANNEXURE

QUESTIONNAIRE

SECTION A – DEMOGRAPHIC PROFILE

1. Age Group

- Below 20 years
- 21–30 years
- 31–40 years
- 41–50 years
- Above 50 years

2. Gender

- Male
- Female
- Prefer not to say

3. Educational Qualification

- School Level
- Undergraduate
- Postgraduate
- Professional Qualification
- Others

4. Monthly Income

- Below ₹20,000
- ₹20,001 – ₹50,000
- ₹50,001 – ₹1,00,000
- Above ₹1,00,000

5. Investment Experience

- Less than 1 year
- 1–3 years
- 3–5 years
- More than 5 years

SECTION B – BEHAVIORAL BIASES & INVESTMENT DECISIONS

6. I am aware that psychological factors influence investment decisions.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

7. I am familiar with behavioral biases in investing.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

8. Emotions like fear and greed affect my investment choices.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

9. I rely on my past investment success while making new decisions.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

10. I prefer investing in familiar companies or industries.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

11. I hesitate to sell investments at a loss.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

12. I follow market trends or others' investment decisions.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

13. I give more importance to recent market information than past data.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

14. My decisions are influenced more by personal beliefs than analysis.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

15. I make quick investment decisions without detailed research.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

16. I feel confident even with limited information about investments.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

17. My emotional decisions have negatively affected my investment returns.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

18. Behavioral biases can lead to poor financial performance.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

19. Financial education can reduce behavioral biases.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree

20. Professional advice helps in making better investment decisions.

- Strongly Disagree
- Disagree
- Neutral
- Agree
- Strongly Agree